

Carol Gorman v. State of California, et al., 24CV-0428

Hearing: Motion for Good Faith Settlement Determination

Date: July 9, 2026

TENTATIVE RULING

Carol Gorman (Plaintiff) filed this action for personal injuries she incurred when she tripped and fell on tarmac, pavement, or cement on a street in Pismo Beach. Plaintiff alleged a cause of action for premises liability-dangerous condition of public property (Government Code section 835) against CalPortland Construction (CalPortland). On January 16, 2026, Plaintiff filed a request for dismissal with prejudice as to CalPortland only and CalPortland has been dismissed from the case.

Plaintiff and CalPortland entered into a mediated settlement for “nuisance value” because the accident occurred on public property and CalPortland, a private entity, is not a proper defendant. Government Code section 835 states that a “public entity” is liable and CalPortland is not a public entity. Further, CalPortland did not own, occupy, or control the public property where the accident occurred. (Declaration of David VanMuyden, P.E., ¶¶ 2, 4.)

Plaintiff brings this motion for determination of good faith settlement pursuant to the terms of the settlement and because remaining defendant State of California would not agree to stipulate that the settlement is in good faith. Notice was properly served and no opposition has been filed.

1. Legal Standard

“The good faith provision [] mandates that the courts review agreements purportedly made under its aegis to insure that such settlements appropriately balance the contribution statute’s dual objectives,” i.e., equitable sharing of costs among the parties and encouragement of settlements. (*Tech-Bilt, Inc. v. Woodward-Clyde & Assoc.* (1980) 38 Cal.3d 488, 494 (*Tech-Bilt*).)

A determination that a settlement has been reached in “good faith” requires that “the amount of the settlement is within the reasonable range of the settling tortfeasor’s proportional share of comparative liability for the plaintiff’s injuries,” taking into account the facts and circumstances of the particular case at the time of settlement. (*Tech-Bilt, supra*, 38 Cal.3d at p. 499.) Factors to consider in determining whether the settlement is within a “reasonable range” include:

1. A rough approximation of plaintiff’s total recovery and the settlor’s proportionate liability;
2. **The amount paid in settlement;**
3. The allocation of settlement proceeds among plaintiffs;
4. A recognition that a settlor should pay less in settlement than he would if he were found liable after a trial;
5. The settlor’s financial condition and insurance policy limits; and

6. Evidence of collusion, fraud, or tortious conduct between the settlor and the plaintiffs aimed at making the nonsettling parties pay more than their fair share.

(*Tech-Bilt*, *supra*, 38 Cal.3d at p. 499 [emphasis added].)

Code of Civil Procedure section 877.6, subdivision (a)(2), provides that an application for good faith settlement must “indicate the settling parties, and the basis, terms, and **amount of the settlement.**” (emphasis added.)

Another key factor is the settling tortfeasor’s potential liability for indemnity to joint tortfeasors. (*Far West Financial Corp. v. D & S Co.* (1988) 46 Cal.3d 796, 816.) Each of these factors is evaluated on the basis of the information that was available to the parties at the time the settlement was entered into. (*Tech-Bilt*, *supra*, 38 Cal.3d at p. 499.)

2. Discussion

A. Evidence that Settlement is in Good Faith

The parties engaged in a full-day mediation with mediator Gary Sanders and agreed to settlement terms. (Declaration of Joshua D. Watts (Watts Dec.), ¶ 4.) The settlement terms were reduced to a written agreement that is partially confidential. (*Id.*) Portions of the settlement are summarized in the moving papers, but the written agreement was not filed and the specific terms of the agreement, including the amount paid by CalPortland, are not stated. The parties assert that CalPortland paid only “nuisance value” because it is not liable for Plaintiff’s injuries. (Watts Dec., ¶ 5.)

Plaintiff provides evidence that prior to her accident the only work CalPortland performed on the street was lowering four (4) manholes and seven (7) water valves that were not near the curb where Plaintiff fell. CalPortland later paved the area after the accident had occurred. (Declaration of David VanMuyden, P.E., ¶¶ 5, 6.)

The amount of the settlement must be disclosed in a good faith settlement motion. The amount of the settlement must also be provided because Code of Civil Procedure section 877, subdivision (a), provides that a good faith settlement “shall reduce the claims against the others in the amount stipulated by the release, the dismissal or the covenant, or in the amount of the consideration paid for it, whichever is the greater.”

Here, the amount of the settlement has not been provided nor is the phrase “nuisance value” sufficient for a determination that the amount of the settlement is reasonable or to offset the State’s liability.

While Plaintiff presents the State of California’s unverified discovery responses indicating CalPortland did not conduct work or create a dangerous condition on the portion of the road where

the accident occurred, this does not negate the existence of a duty to the State or indemnity obligation.

CalPortland has been dismissed from the action with prejudice and appears to have no liability to Plaintiff. That does not, however, establish CalPortland's right to a statutory good faith settlement determination. The right to preclude indemnity or similar claims by the remaining defendant requires that the terms of the settlement, including amounts paid, be disclosed.

3. Ruling

The motion is denied.